FIXED INCOME RESEARCH

October 5 – 9, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
5.22%	**4.75%**	**82 bps**	**315 bps**
▼ 2 bps MTD	▼ 3 bps MTD	▼ 4 bps MTD	▼ 9 bps MTD

WORD ON THE DESK

This week's fixed income landscape was defined by a market quietly digesting elevated rate levels across the Treasury curve while credit spreads continued their October tightening trend — a resilient risk appetite signal that stands in some tension with yields sitting well above year-ago levels. Portfolio implications are nuanced: carry remains attractive in both investment-grade and high-yield credit, but duration positioning warrants caution given the still-elevated absolute rate environment and the potential for incoming inflation data to reset expectations. With no late-breaking macro shocks to process heading into the weekend, the near-term focus shifts to CPI and the pace of Fed communication as the primary catalysts for the next leg in rates. Managers should stay disciplined on curve positioning, as the long end continues to reflect a structurally elevated term premium environment.

MARKET COMMENTARY

01 Treasury yields closed the week marginally lower across the curve, with the 2-year at 4.75% and the 10-year at 5.22% [DATA: as of 2026-10-08], representing modest month-to-date relief of 3 bps and 2 bps respectively versus October 1st opens of 4.78% and 5.24%. The 2s10s spread holds at 47 bps, reflecting a modestly re-steepening curve compared to year-ago levels when the 2-year yielded 3.60% and the 10-year 4.14% — a dramatic 118 bps and 108 bps of parallel upward shift over the past year. The 2s30s spread sits at approximately 85 bps (2Y: 4.75%, 30Y: 5.60%), a curve shape consistent with a market pricing long-run structural deficits and elevated term premium rather than imminent Fed easing.

→ The 20-year point at 5.64% [DATA: as of 2026-10-08] — unchanged from its October month-start level — continues to represent the steepest point on the curve in yield terms, an inversion of the 20/30 relationship that may present relative value opportunities for managers with flexibility across the long end.

→ Year-over-year yield comparisons underscore that any return to 2025 rate levels would require a substantial catalyst; duration extension in this environment carries meaningful mark-to-market risk if inflation data surprises to the upside.

02 No CPI or major inflation print was released during this specific week, leaving markets to trade on residual positioning and the broader macro narrative of 'higher for longer.' The absence of a fresh inflation catalyst allowed rates to drift modestly lower, supporting the mild risk-on tone observed in credit spreads. With CPI remaining the single most market-sensitive data point in the current cycle, the next release will be a critical test of whether the Treasury curve can sustain even these modest gains or reverses back toward October's opening levels.

→ Inflation expectations embedded in the curve — inferred from the 5-year at 4.99% and 30-year at 5.60% [DATA: as of 2026-10-08] — suggest the market is not yet pricing a decisive disinflation trajectory, keeping the policy path uncertain.

→ Portfolio managers should note that a CPI surprise in either direction in the coming weeks could rapidly reprice the short end, given how sensitive the 2-year has been to Fed expectations throughout this cycle.

Sources: Federal Reserve (FRED), Tavily Web Search
For informational purposes only. Data as of 2026-10-09.

03 Investment-grade corporate spreads tightened to 82 bps OAS [DATA: as of 2026-10-08], a compression of 4 bps month-to-date that reflects continued demand for high-quality carry in an environment where all-in yields remain historically attractive. MTD total returns for IG corporates came in at +0.37% [DATA: as of 2026-10-08], a constructive start to October that reflects both the spread tightening and the slight Treasury rally on the week. IG new issue supply has remained a technical headwind into the fall, as corporates rush to lock in financing before any potential fourth-quarter volatility, though robust investor demand has absorbed issuance without meaningful concession widening.

→ At 82 bps OAS, IG spreads remain historically tight relative to long-run averages, suggesting that further compression from here is limited and that total return will increasingly be driven by carry and Treasury direction rather than spread performance.

→ Investors with mandates allowing sector rotation may find relative value in select BBB-rated industrials or financials, where spread pickup versus single-A peers remains meaningful without stepping into high-yield territory.

04 High-yield credit continues to outperform on a spread basis, with HY OAS at 315 bps [DATA: as of 2026-10-08] and month-to-date tightening of 9 bps — more than twice the pace of IG compression — signaling a constructive risk appetite environment as October opens. MTD total returns for HY stand at +0.39% [DATA: as of 2026-10-08], modestly ahead of IG on a return basis, consistent with the spread momentum. At 315 bps, HY OAS sits in a range that historically reflects a relatively benign default outlook, though the absolute level of underlying Treasury yields means all-in HY borrowing costs remain elevated, a dynamic that bears watching for lower-quality issuers with near-term refinancing needs.

→ The 9 bps MTD tightening in HY versus 4 bps in IG compresses the HY-IG spread differential, a signal that investors are actively moving down in quality to capture additional carry — a dynamic that typically precedes either continued spread compression or a sharp reversal if macro conditions deteriorate.

→ Default risk remains the key tail for HY positioning; managers should monitor covenant quality and maturity walls in the 2027–2028 vintage, where the refinancing burden at current all-in yields is most acute.

05 Agency MBS and securitized credit data were not included in this week's payload, limiting precise attribution; however, the macro context — a 10-year at 5.22% [DATA: as of 2026-10-08] and a 30-year at 5.60% — continues to suppress prepayment speeds materially, as the vast majority of outstanding mortgage pools carry coupons well below prevailing rates. This 'lock-in effect' supports collateral stability and extension risk management but constrains reinvestment and turnover in the sector. MBS total returns have likely been range-bound, driven primarily by carry rather than price appreciation, in line with what the Treasury backdrop would imply.

→ Option-adjusted spreads on current-coupon MBS have been subject to volatility driven by rate level uncertainty; in a 5%+ 10-year environment, convexity hedging costs remain elevated, which can create episodic cheapening opportunities for patient institutional buyers.

→ ABS and CMBS sectors, while not reported in this payload, continue to benefit from tight consumer credit conditions and strong collateral performance in senior tranches, offering spread pickup over agency MBS with limited incremental credit risk for diversified portfolios.

06 Fed communication this week featured two distinct voices with separate mandates and emphases. Fed Vice Chair Philip Jefferson delivered remarks on the U.S. economy and monetary policy on October 1st, maintaining a neutral stance that neither signaled urgency for additional hikes nor provided a clear easing timeline — consistent with the Committee's data-dependent posture. Separately, Fed Vice Chair for Supervision Michelle Bowman spoke on modernizing financial regulation on October 1st, keeping her focus on the regulatory framework rather than the policy rate path, reflecting the distinct scope of her supervisory role.

→ Jefferson's neutral framing is consistent with a Fed that views current policy as appropriately calibrated but remains alert to upside inflation risk — a stance that leaves the door open to further tightening if CPI or labor data disappoint.

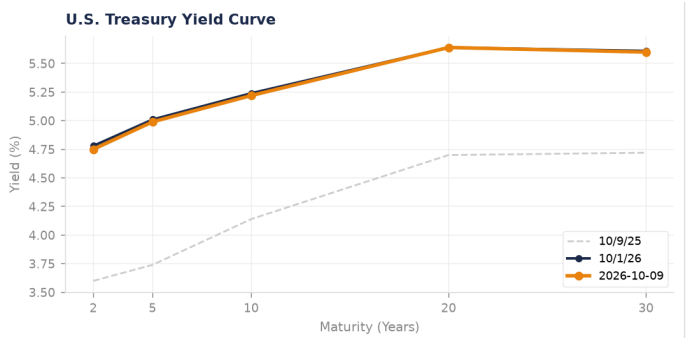
→ Bowman's regulatory focus is separately notable for fixed income investors in bank-issued paper: any shifts in capital or liquidity requirements stemming from the modernization agenda could affect bank appetite for balance sheet assets, including AFS securities, with secondary implications for IG financial spreads.

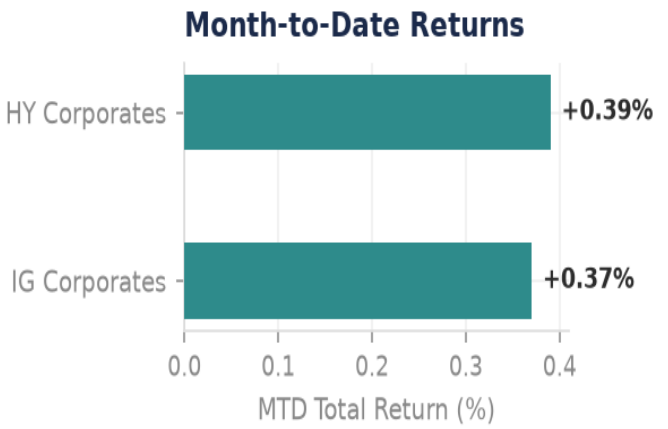
07 No late-breaking geopolitical or macro events were flagged in this week's data payload, a relative calm that contributed to the orderly, modestly risk-on tone across asset classes. The absence of an exogenous shock allowed markets to trade on fundamentals and positioning rather than headlines, with credit spreads tightening and rates drifting marginally lower in a low-volatility grind. While this constructive backdrop is welcome, institutional portfolios should maintain contingency positioning for potential volatility sources in the weeks ahead, including geopolitical developments, fiscal policy debate around the U.S. deficit trajectory, and any surprises in the upcoming earnings season that could reprice corporate credit fundamentals.

→ The calm this week should not be mistaken for a durable reduction in macro risk; the combination of a 5.22% 10-year yield, tight credit spreads, and a data-dependent Fed leaves the market vulnerable to sharp repricing on any single catalyst.

→ Managers are advised to maintain adequate liquidity buffers and avoid over-concentration in duration or spread risk, preserving dry powder to capitalize on dislocations that elevated volatility regimes tend to create.

MARKET DATA





	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.75	4.99	5.22	5.64	5.60
MTD (bps)	-3	-2	-2	0	-1

Sector	OAS (bps)	MTD Chg
IG Corporate	82	-4
HY Corporate	315	-9

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.75%	2026-10-08	FRED:DGS2
5yr Treasury	4.99%	2026-10-08	FRED:DGS5
10yr Treasury	5.22%	2026-10-08	FRED:DGS10
20yr Treasury	5.64%	2026-10-08	FRED:DGS20
30yr Treasury	5.60%	2026-10-08	FRED:DGS30
IG OAS	82.0 bps	2026-10-08	FRED:BAMLC0A0CM
HY OAS	315.0 bps	2026-10-08	FRED:BAMLH0A0HYM2

IG Corporates MTD Return	+0.37%	2026-10-08	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.39%	2026-10-08	FRED:BAMLHYH0A0HYM2TRIV